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November 25, 2025

Dec 01 2025

VIA HAND DELIVERY

Anabel Renteria
Initiative Coordinator
Office of the Attorney General
1300 "I" Street, 17th Floor
Sacramento, CA 95814

INITIATIVE COORDINATOR
ATTORNEY GENERAL'S OFFICE

Re: California Charitable Assets Protection Act

Dear Initiative Coordinator:

In accordance with the requirements of Elections Code section 9001(a), I request that the Attorney General prepare a circulating title and summary of the initiative measure entitled the "California Charitable Assets Protection Act" The text of the measure, a check for \$2,000.00, and the certifications required by Elections Code sections 9001(b) and 9608 are enclosed.

Please direct all correspondence and inquiries regarding this measure to:

Poornima Ramarao
1836 Tulane Street
Union City, CA 94587
Phone: (650)703-2554
Email: charitableact@proton.me

Sincerely,



Poornima Ramarao

Enclosures

THE CALIFORNIA CHARITABLE ASSETS PROTECTION ACT

SECTION 1. TITLE

This measure shall be known and may be cited as the "California Charitable Assets Protection Act."

SECTION 2. FINDINGS AND DECLARATIONS

The People of the State of California hereby find and declare as follows:

(a) Charitable nonprofit organizations engaged in scientific and technological research represent a vital public trust. When donors, researchers, and the public contribute resources, expertise, and support to such organizations, they do so with the understanding that the benefits of such research will serve the public good and humanity as a whole.

(b) In recent years, certain charitable nonprofit organizations have accumulated extraordinary assets, including advanced technologies, research infrastructure, intellectual property, and scientific capabilities of potentially unprecedented value. These assets were developed using charitable contributions, tax-exempt status, and the labor of researchers who joined these organizations based on explicit promises that their work would benefit humanity.

(c) Transformative scientific and technological research—including but not limited to artificial general intelligence, advanced biotechnology, gene therapies, fusion energy, quantum computing, and other breakthrough technologies—represents advancements of historic significance. Organizations pursuing such research under the banner of serving humanity bear a special obligation to ensure that the benefits and control of such technology remain aligned with the public interest.

(d) When executives and investors of charitable research organizations seek to convert such organizations to for-profit entities, or to transfer charitable assets to for-profit entities under their personal control, this represents a potential diversion of charitable assets that were intended to benefit humanity.

(e) Recent conversions of charitable research organizations to for-profit entities have resulted in executives and investors obtaining majority ownership and control, while the original charitable entity retains only a minority stake. Such arrangements constitute an improper transfer of charitable assets that undermines the original charitable purpose and public trust.

(f) The existing regulatory framework has proven inadequate to protect charitable research assets. Conversions have been approved with insufficient review, inadequate consideration of the public interest, and without meaningful safeguards to ensure continued compliance with charitable purposes. This inadequacy of prior oversight provides compelling justification for enhanced prospective and retrospective regulation.

(g) Executives of charitable research organizations have made extensive public statements and commitments regarding how their organizations will operate, including commitments to benefit all of humanity, to avoid undue concentration of power, to ensure democratized control, and to prioritize safety and public benefit over

private financial returns. These public statements create legitimate expectations that the organization will operate in accordance with them and constitute a form of public trust.

(h) The public has a compelling interest in ensuring that charitable research organizations comply with their stated missions and public commitments, and that the assets developed with charitable support are not diverted to private benefit. This interest is particularly acute where the research involves technologies of potentially civilization-altering significance.

(i) The research assets and technological capabilities being developed by certain charitable research organizations may, if improperly controlled, pose risks to the economic security, democratic institutions, and general welfare of the people of California and the world. The concentration of such power in the hands of a few executives or investors would be contrary to the public interest and the original charitable purposes.

(j) The Attorney General, as the public official charged with oversight of charitable organizations in California, requires additional tools, structures, and expert support to effectively protect charitable assets and ensure compliance with charitable purposes in cases involving organizations of extraordinary value, complexity, and potential impact.

(k) Charitable assets, once dedicated to public purposes, remain impressed with a charitable trust that should follow those assets regardless of subsequent transfers or reorganizations. This principle of charitable asset protection is well-established in law and equity.

(l) The protection of charitable research assets is a matter of statewide concern requiring uniform regulation and the emergency circumstances created by pending and recently completed conversions of charitable research organizations justify both prospective regulation and retrospective review of transactions that may have improperly diverted charitable assets.

(m) It is therefore necessary to establish an expert oversight board with the authority to ensure that charitable research organizations, and any entities created from the conversion or restructuring of such organizations, operate in accordance with their charitable purposes and public commitments, for the benefit of the public.

SECTION 3. DEFINITIONS

Chapter 3.5 (commencing with Section 14360) is added to Part 7 of Division 3 of Title 1 of the Corporations Code, to read:

CHAPTER 3.5. CHARITABLE RESEARCH ORGANIZATIONS

ARTICLE 1. Definitions

14360. As used in this chapter, the following definitions apply:

(a) "Charitable research organization" means any entity, including any parent, subsidiary, successor, or affiliate entity, that meets all of the following criteria:

(1) Is or was organized as a nonprofit corporation under the laws of California or any other state for charitable, educational, or scientific purposes within the meaning of Section 501(c)(3) of the Internal Revenue Code;

(2) Has stated in its articles of incorporation, bylaws, registration documents with the Attorney General, filings with the Internal Revenue Service, or public communications that a purpose of the entity is to engage in scientific or technological research for the benefit of humanity, the public good, or similar charitable purpose;

(3) Has total assets, or controls entities with total assets, exceeding one billion dollars (\$1,000,000,000) in fair market value; and

(4) Is engaged in, or has controlled entities engaged in, scientific or technological research with potential transformative impact on society.

(b) "Converted entity" means any corporation, limited liability company, public benefit corporation, or other legal entity that:

(1) Was created through the conversion, restructuring, reorganization, or transformation of a charitable research organization;

(2) Received assets, intellectual property, personnel, technology, or other property from a charitable research organization;

(3) Is a successor entity to a charitable research organization; or

(4) Was created as a subsidiary or affiliate of a charitable research organization and has received assets valued in excess of one hundred million dollars (\$100,000,000) from the charitable research organization.

(c) "Successor entity" means any entity that:

(1) Acquires substantially all of the assets of a covered entity;

(2) Acquires assets of a covered entity valued in excess of one hundred million dollars (\$100,000,000);

(3) Merges with or consolidates with a covered entity; or

(4) Is controlled by persons who controlled a covered entity and conducts substantially similar business or research activities.

A successor entity shall itself become a covered entity subject to all provisions of this chapter.

(d) "Conversion" means any transaction, series of transactions, or course of conduct that results in:

(1) A charitable research organization changing its legal form to a for-profit corporation, public benefit corporation, limited liability company, or other entity that is not a nonprofit corporation;

(2) The transfer of a substantial portion of the assets, intellectual property, technology, personnel, or operations of a charitable research organization to a for-profit entity;

(3) The creation of equity interests, ownership stakes, or profit-sharing arrangements in connection with assets originally held by a charitable research organization; or

(4) Any restructuring that results in persons who were officers, directors, employees, or investors in or of the charitable research organization obtaining ownership interests in assets that were held by or developed by the charitable research organization.

(e) "Mission statements" means:

- (1) The articles of incorporation, bylaws, and charter documents of the charitable research organization;
- (2) All filings with the Attorney General, Secretary of State, Internal Revenue Service, or Securities and Exchange Commission;
- (3) Official press releases issued by the organization;
- (4) Materials used to solicit donations, investments, grants, or other support that describe the organization's charitable or public benefit purposes;
- (5) Statements in offering documents or investor materials; and
- (6) Formal written communications to employees regarding organizational mission.

"Mission statements" does not include informal remarks, personal social media posts, or statements not authorized by the organization, unless such statements were made by an executive in their official capacity and were material to attracting donations, investments, or employees.

(f) "Board" or "Oversight Board" means the Charitable Research Oversight Board established pursuant to Section 14361.

(g) "Covered entity" means any charitable research organization, converted entity, or successor entity subject to oversight under this chapter.

(h) "Executive" means any officer, director, trustee, managing member, general partner, or other person with significant management authority or decision-making power over a charitable research organization or converted entity.

(i) "Research assets" means laboratories, data centers, servers, computing infrastructure, research equipment, biological materials, datasets, models, and other tangible or intangible assets material to scientific or technological research activities.

(j) "Relevant scientific field" means the primary field or fields of scientific or technological research conducted by a covered entity, as determined by the Board based on the entity's research activities, publications, patents, and stated mission.

(k) "Direct competitor" means an entity that directly competes with a covered entity in the same relevant scientific field and market for research talent, funding, or commercial applications, as determined by the Board.

(l) "Charitable encumbrance" means the permanent obligation to use assets in accordance with the charitable purposes for which they were originally dedicated, which obligation runs with the assets and binds all successors and transferees.

SECTION 4. CHARITABLE RESEARCH OVERSIGHT BOARD

ARTICLE 2. Establishment and Composition of the Oversight Board

14361. Establishment of the Charitable Research Oversight Board

(a) The Charitable Research Oversight Board is hereby established as an independent body within the Department of Justice with authority over charitable research organizations and converted entities as provided in this chapter.

(b) The Oversight Board shall be composed of seven to nine members selected as follows:

(1) Initial Expert Members. The first two members shall be:

(A) One Nobel Prize laureate who has demonstrated substantial expertise or conducted significant research in a scientific or technological field relevant to the covered entity's primary research activities. If no such laureate is available or willing to serve, a Nobel Prize laureate who has demonstrated substantial expertise in a related scientific field and who has engaged in research relevant to the societal implications of transformative technology shall be selected. The Attorney General shall maintain a roster of eligible laureates based on publicly available information regarding their research and expertise.

(B) One tenured professor at an accredited research university who has the highest h-index among professors whose primary research focus is in the scientific or technological field most relevant to the covered entity's research activities, and who is not currently employed by any covered entity. The h-index shall be determined based on publicly available citation databases.

(2) Selection Process for Initial Expert Members.

(A) Within 60 days of the effective date of this chapter, the Attorney General shall identify and contact eligible persons for the positions described in paragraph (1).

(B) Eligible persons shall have 30 days to accept or decline the appointment.

(C) If an eligible person declines, the Attorney General shall contact the next eligible person (the next Nobel laureate with relevant expertise, or the professor with the next highest h-index).

(D) An initial expert member may, at any time, designate a qualified replacement to serve in their stead, subject to approval by a majority of the other Board members.

(3) University of California Member. Within 30 days of the selection of the initial expert members, those members shall jointly select one tenured professor from the University of California system who has demonstrated exceptional scholarship on the long-term societal implications of advanced technology, research ethics, or the governance of emerging technologies.

(4) Public Competition Members. The Board shall conduct a public competition as follows:

(A) Within 90 days of the selection of the University of California member, the Board shall issue a public request for proposals soliciting comprehensive plans addressing: (i) how charitable research organizations and converted entities can best fulfill their mission

statements and serve the public good; (ii) mechanisms to ensure democratic accountability and prevent undue concentration of power; (iii) safeguards to prevent capture of organizational assets by executives or investors; and (iv) enforcement mechanisms to ensure compliance.

(B) The Board shall evaluate all submitted proposals based on their comprehensiveness, feasibility, alignment with the public interest, and creativity.

(C) The Board shall select the three highest-ranked proposals and appoint the primary author or designated representative of each proposal as a member of the Board.

(5) Former Employee Members. The Board shall appoint up to two former employees of any covered entity who have publicly expressed concerns about the conversion or operation of the entity, or who have demonstrated commitment to ensuring the entity fulfills its charitable mission. Former employees who are subject to non-disparagement agreements shall not be disqualified from appointment, and this chapter shall supersede any such agreements to the extent they would prevent service on the Board or testimony before the Board.

(c) Financial Disclosure and Oath.

(1) Current Employment Disqualification. No person who is currently employed by, consulting for, or receiving ongoing compensation from any covered entity may serve on the Board.

(2) Mandatory Disclosure. All Board members and nominees shall fully disclose in writing:

(A) All equity interests, stock options, and ownership stakes in any covered entity;

(B) All equity interests in any direct competitor of a covered entity;

(C) Any equity held indirectly through retirement accounts, mutual funds, or similar investment vehicles where the member has actual knowledge of specific holdings in covered entities or direct competitors; and

(D) Any other financial interest that could create a conflict of interest.

(3) Oath of Mission Primacy. Each Board member shall execute a written oath, under penalty of perjury, affirming that they will:

(A) Prioritize the mission and public benefit purposes of covered entities over any personal financial interest;

(B) Exercise independent judgment in the public interest;

(C) Promptly disclose any new conflicts of interest that arise during their service; and

(D) Recuse themselves from any matter in which their financial interest creates a direct and material conflict.

(4) Recusal. A Board member shall recuse themselves from voting on any specific matter where their disclosed equity interest would be directly and materially affected by the decision. A Board member's general interest in the success or failure of a covered entity or competitor shall not, by itself, require recusal.

(5) Annual Disclosure. Board members shall update their disclosures annually and within 30 days of any material change in their financial interests.

(6) Public Availability. All disclosures shall be made available to the public on the Board's website.

(d) Terms. Board members shall serve for terms of four years, except that initial terms shall be staggered as determined by the Board to ensure continuity. Members may be reappointed for one additional term.

(e) Renewal and Succession. The Board may, by majority vote, add or replace up to two members per year through additional public competitions or nominations approved by a majority of existing members.

(f) Compensation. Board members shall be compensated at market rates for comparable positions, as determined by the Board, and shall be reimbursed for reasonable expenses incurred in the performance of their duties.

(g) Chair. The Board shall elect a chairperson and vice-chairperson from among its members to serve two-year terms.

(h) Meetings. The Board shall meet at least quarterly and shall conduct its meetings in accordance with the Bagley-Keene Open Meeting Act (Government Code Section 11120 et seq.).

SECTION 5. CHARITABLE ENCUMBRANCE ON ASSETS

ARTICLE 2.5. Charitable Asset Protection

14362.5. Charitable Encumbrance

(a) Creation of Encumbrance. All assets held by, developed by, or transferred from a charitable research organization shall be deemed to carry a permanent charitable encumbrance in favor of the People of the State of California. This encumbrance:

(1) Arises by operation of law at the time the asset is acquired, developed, or dedicated to charitable purposes;

(2) Runs with the asset and is binding upon all successors, transferees, assignees, and subsequent holders of the asset, whether or not they had actual notice of the encumbrance;

(3) Requires that the asset be used in a manner consistent with the charitable purposes and mission statements for which the asset was originally dedicated;

(4) Subjects any person or entity holding the asset to the jurisdiction of California and the authority of the Board;

(5) Cannot be released, waived, or extinguished except by written approval of the Board; and

(6) Is superior to all other liens, claims, or encumbrances except those existing prior to the asset's dedication to charitable purposes and properly perfected under applicable law.

(b) Recording and Notice. The Attorney General may record a notice of charitable encumbrance with respect to any real property or intellectual property held by or transferred from a covered entity. Such recording shall constitute constructive notice to all persons. Failure to record shall not affect the validity or enforceability of the encumbrance.

(c) Enforcement. The charitable encumbrance may be enforced by:

- (1) The Board through any remedy available under this chapter;
- (2) The Attorney General through an action for injunctive relief, specific performance, or declaratory relief;
- (3) Any private plaintiff with standing under Section 14368.5; or
- (4) Any holder of the asset who seeks a declaration that a proposed use complies with the encumbrance.

(d) Remedy for Violation. Any use of an asset in violation of the charitable encumbrance shall:

- (1) Subject the holder to all penalties and remedies available under this chapter;
- (2) Be subject to injunctive relief prohibiting the violating use;
- (3) Give rise to a constructive trust in favor of the People of California over all proceeds or benefits derived from the violating use; and
- (4) Authorize the court to order transfer of the asset to a charitable entity designated by the Board.

(e) Application. This section applies to all assets held by or transferred from charitable research organizations, including assets transferred prior to the effective date of this chapter, to the extent such assets were originally dedicated to charitable purposes.

SECTION 6. POWERS AND DUTIES OF THE OVERSIGHT BOARD

ARTICLE 3. Powers and Duties

14362. General Powers

(a) The Oversight Board shall have the following powers and duties:

- (1) Mission Compliance. To collect, review, and analyze all mission statements of covered entities, and to develop requirements and mechanisms to ensure that covered entities operate in full compliance with their mission statements and in service of the public good.
- (2) Plan Development. To solicit, evaluate, and adopt comprehensive plans for the operation of covered entities that maximize public benefit and ensure compliance with mission statements.

- (3) Investigation. To investigate the activities, finances, operations, and governance of any covered entity.
- (4) Document Production. To compel the production of documents, records, communications, and other information from covered entities and their executives, employees, and agents.
- (5) Auditing. To conduct or commission audits of covered entities, including financial audits, operational audits, and mission compliance audits.
- (6) Executive Removal. To require the removal of any executive of a covered entity who the Board determines, after notice and opportunity to be heard, is acting in a manner inconsistent with the entity's mission statements, is engaged in self-dealing, or poses a risk of improperly capturing control of the entity's assets.
- (7) Equity Approval. To review and approve or disapprove any issuance, transfer, grant, or modification of equity interests, stock options, ownership stakes, or other ownership or profit-sharing arrangements involving a covered entity.
- (8) Asset Transfer Approval. To review and approve or disapprove any transfer, license, sale, or disposition of assets, intellectual property, technology, or personnel of a covered entity exceeding ten million dollars (\$10,000,000) in value.
- (9) Financial Oversight. To review and approve annual budgets, major expenditures, and executive compensation for covered entities to ensure alignment with mission statements.
- (10) Operational Directives. To issue binding directives regarding the operation, governance, safety practices, and activities of covered entities.
- (11) Shutdown Authority. To seek a court order for the temporary or permanent cessation of any activity that poses imminent risk to the public or constitutes a material violation of this chapter. In exigent circumstances where immediate action is necessary to prevent irreparable harm to the public, the Board may order an immediate temporary cessation for up to 72 hours, subject to immediate judicial review upon request of the covered entity.
- (12) Grant Making. To make grants to researchers, nonprofit organizations, and academic institutions to study mechanisms for ensuring that covered entities serve the public good and comply with their mission statements.
- (13) Rulemaking. To adopt rules, regulations, and procedures for the implementation of this chapter, which shall not be subject to the Administrative Procedure Act (Government Code Section 11340 et seq.).
- (14) Nonprofit Governance. To exercise authority over any predecessor charitable organization that retains an ownership interest in a converted entity, including directing the exercise of any governance rights, veto rights, or voting rights held by such predecessor organization.

14363. Conversion Review Authority

(a) Final Approval. Notwithstanding any other provision of law, no conversion of a charitable research organization shall be effective or valid unless and until it has been approved by the Oversight Board.

(b) Review of Pending and Completed Conversions. The Board shall review all conversions of charitable research organizations that have been proposed, approved, or completed on or after January 1, 2024.

(c) Authority to Modify or Reverse Conversions. Upon review, the Board may:

- (1) Approve the conversion as structured;
- (2) Approve the conversion with modifications to ensure adequate protection of charitable assets and compliance with mission statements;
- (3) Request that the Attorney General reopen the review process and reconsider the conversion;
- (4) Reverse or unwind the conversion in whole or in part; or
- (5) Restructure the ownership or control of the converted entity.

(d) Reversal Mechanism. If the Board determines that a conversion should be reversed or restructured:

- (1) The Board may order that ownership interests be reallocated such that the original charitable organization, or a successor charitable entity designated by the Board, receives ownership and control proportional to the value of the charitable assets contributed to the conversion.
- (2) If, in any conversion, the original charitable organization received a minority ownership stake (less than 50%) in exchange for contributing the substantial majority of the assets, intellectual property, and personnel, the Board may order a reversal of the equity allocation such that the charitable organization receives the majority ownership stake and the persons who received the majority stake in the conversion receive the minority stake.
- (3) For purposes of compliance with constitutional requirements regarding compensation for takings, any reallocation of equity pursuant to this section shall be deemed fair compensation because it mirrors the valuation established by the parties to the original conversion. If the parties to a conversion valued the charitable organization's contribution at a certain percentage of the converted entity, that same valuation shall apply in any reversal.

(e) Control of Original Nonprofit. The Board shall have authority over both the converted entity and any remaining charitable organization that was the predecessor to or retains an ownership interest in the converted entity.

(f) Procedural Requirements. Before exercising reversal or restructuring authority under this section:

- (1) The Board shall provide written notice to the covered entity of the proposed action and the grounds therefor;
- (2) The covered entity shall have 60 days to submit a written response;
- (3) The Board shall hold a public hearing at which the covered entity may present evidence and argument;

(4) The Board shall issue a written decision with findings of fact and conclusions of law; and

(5) The covered entity may seek judicial review of the Board's decision in superior court within 30 days of the decision.

(g) Independent Valuation. Upon request of any party or on its own motion, the Board may commission an independent valuation of assets and equity interests from one or more qualified appraisers.

(h) Retroactive Governance Rights. Any conversion of a charitable research organization completed on or after January 1, 2024, shall be deemed to include the following terms, regardless of whether such terms were included in the original conversion documents:

(1) The predecessor charitable organization retains:

(A) Veto rights over any relocation of headquarters, change of state of incorporation, or change of governing law of the converted entity;

(B) Veto rights over any sale, transfer, or disposition of substantially all assets of the converted entity;

(C) Veto rights over any merger, acquisition, or change of control of the converted entity;

(D) The right to appoint at least two members of the board of directors of the converted entity; and

(E) Approval rights over any equity issuance, stock option plan, or ownership restructuring that would dilute the predecessor organization's ownership stake below its ownership percentage as of the effective date of this chapter.

(2) These rights are implied by operation of law and are enforceable notwithstanding any contrary provision in the conversion documents, corporate charter, bylaws, or shareholder agreements of the converted entity.

(3) The Oversight Board shall have authority to direct the predecessor charitable organization in the exercise of these veto and governance rights, and the predecessor organization shall exercise such rights as directed by the Board.

(4) Any action taken by a converted entity in violation of these governance rights shall be void ab initio and of no legal effect.

14363.5. Reporting Requirements

(a) Annual Report. Each covered entity shall submit to the Board an annual report, certified by the chief executive officer under penalty of perjury, containing:

(1) Audited financial statements prepared in accordance with generally accepted accounting principles;

(2) A comprehensive assessment of the entity's compliance with its mission statements and approved public benefit plan;

(3) Description of all major research activities and technological developments;

- (4) List of all equity holders, option holders, and beneficial owners holding more than 1% of any equity interest;
- (5) Total compensation paid to each executive, including salary, bonuses, equity grants, and other benefits;
- (6) Description of all lobbying and political contributions made by the entity or its executives;
- (7) Description of any safety incidents, concerns, or risks identified during the reporting period; and
- (8) Such other information as the Board may require by regulation.

(b) Quarterly Financial Reports. Each covered entity shall submit quarterly unaudited financial statements to the Board within 45 days of the end of each fiscal quarter.

(c) Material Transaction Notice. A covered entity shall provide written notice to the Board at least 60 days prior to:

- (1) Any transaction involving assets valued in excess of ten million dollars (\$10,000,000);
- (2) Any issuance or transfer of equity interests;
- (3) Any change in executive leadership;
- (4) Any material change in research direction or activities;
- (5) Any proposed relocation or establishment of operations outside California;
- (6) Any merger, acquisition, or change of control transaction; or
- (7) Any material change in ownership structure.

(d) Public Availability. The Board shall make all reports publicly available on its website, except for information that the Board determines constitutes trade secrets or proprietary business information entitled to confidential treatment. Financial information regarding total revenue, total assets, and executive compensation shall always be made public.

(e) Penalty for Non-Compliance. Failure to timely submit any required report or notice shall subject the covered entity to a civil penalty of fifty thousand dollars (\$50,000) per day until the report is submitted.

14363.7. Fair Market Value Determination

(a) Appraisal Requirement. Whenever this chapter requires determination of fair market value of assets, intellectual property, or equity interests, the Board shall commission an independent appraisal by one or more qualified appraisers.

(b) Qualified Appraiser. A qualified appraiser means a person who:

- (1) Holds professional credentials appropriate to the type of asset being valued (e.g., ASA, CFA, or equivalent);
- (2) Has substantial experience valuing similar assets;
- (3) Has no financial interest in the covered entity or the outcome of the valuation; and
- (4) Executes a written independence certification.

(c) Appraisal Standards. All appraisals shall:

- (1) Conform to the Uniform Standards of Professional Appraisal Practice (USPAP) or equivalent professional standards;
- (2) Consider all relevant factors, including but not limited to: historical financial performance, projected future performance, comparable transactions, asset replacement cost, intellectual property value, and strategic value;
- (3) For research assets and technology with transformative potential, consider both present value and reasonably foreseeable future value;
- (4) Be set forth in a detailed written report explaining the methodology and conclusions; and
- (5) Be made available to the covered entity and, except for confidential business information, to the public.

(d) Multiple Appraisals. The Board may commission multiple independent appraisals and shall determine fair market value based on consideration of all appraisals. Where appraisals differ materially, the Board may adopt any value within the range or commission additional appraisals.

(e) Dispute Resolution. If a covered entity disputes the Board's determination of fair market value, the entity may, within 30 days, submit its own independent appraisal meeting the requirements of this section. The Board shall consider the entity's appraisal and may adjust its determination or seek additional expert input.

(f) Judicial Review. A covered entity may seek judicial review of a fair market value determination, but the court shall defer to the Board's determination unless it is shown to be arbitrary and capricious or not supported by substantial evidence.

14363.8. Irrevocable Consent to Jurisdiction

(a) Mandatory Consent. As a condition of any conversion approved by the Board, the converted entity and all beneficial owners of more than 5% of any equity interest shall execute an irrevocable consent to California jurisdiction providing that:

- (1) The entity and all signatories irrevocably consent to the personal jurisdiction of California courts for all matters arising under or relating to this chapter;
- (2) The entity and all signatories irrevocably waive any objection to venue in California and any defense based on inconvenient forum;
- (3) The consent is binding on the entity and all signatories personally, and upon all successors, assigns, heirs, and transferees;
- (4) The consent cannot be revoked, withdrawn, modified, or superseded by any subsequent action, agreement, or corporate document;
- (5) The consent constitutes a covenant running with all assets of the entity; and
- (6) Any attempt to evade or nullify the consent shall render any related transaction void ab initio.

(b) Enforcement. The consent to jurisdiction may be specifically enforced by the Board, the Attorney General, or any private plaintiff with standing under Section 14368.5.

(c) Effect of Non-Compliance. Any transaction undertaken in violation of the consent to jurisdiction shall be void ab initio and confer no rights upon any party. Assets purportedly transferred in such transaction shall remain subject to the charitable encumbrance and the jurisdiction of the Board.

SECTION 7. MISSION COMPLIANCE AND PUBLIC BENEFIT PLANS

ARTICLE 4. Mission Compliance

14364. Public Benefit Plans

(a) Plan Requirement. Each covered entity shall operate in accordance with a public benefit plan approved by the Board.

(b) Plan Contents. Each public benefit plan shall include:

- (1) A comprehensive analysis of all mission statements applicable to the covered entity;
- (2) Specific mechanisms to ensure the entity operates in accordance with its mission statements;
- (3) Safeguards against capture of the entity's assets, technology, or operations by executives, investors, or other private interests;
- (4) Mechanisms for democratic accountability and public input;
- (5) Safety protocols and oversight mechanisms for any technology developed by the entity;
- (6) Provisions ensuring that benefits of the entity's technology and research are broadly distributed to the public; and
- (7) Enforcement mechanisms and consequences for non-compliance.

(c) Plan Development Process.

- (1) The covered entity may submit a proposed public benefit plan to the Board.
- (2) The Board shall solicit alternative plans from the public through periodic competitions.
- (3) The Board shall evaluate all submitted plans and may adopt the entity's plan, a publicly submitted plan, or a plan developed by the Board itself.
- (4) If the Board does not approve the entity's proposed plan, the entity may submit revised plans, but the Board shall have final authority to adopt a plan.

(d) Annual Review. The Board shall conduct an annual review of each covered entity's compliance with its public benefit plan and may modify the plan as necessary.

14365. Prohibited Conduct

(a) No executive of a covered entity shall:

- (1) Take any action inconsistent with the entity's mission statements or approved public benefit plan;
- (2) Engage in self-dealing or transactions that benefit the executive at the expense of the public interest;
- (3) Concentrate power or control over the entity's assets, technology, or operations in a manner inconsistent with the entity's mission statements; or
- (4) Take any action to evade the jurisdiction or oversight of the Board.

14365.5. Transparency in Advocacy

(a) **Disclosure of Advocacy Activities.** Any executive of a covered entity who engages in lobbying, political contributions, or public advocacy related to this chapter, the oversight of charitable organizations, or the regulation of the entity's research activities shall disclose such activities to the Board in writing within 30 days.

(b) **Board Consideration.** The Board may consider an executive's advocacy activities when evaluating:

- (1) The executive's alignment with the entity's mission statements;
- (2) Whether the executive's actions are consistent with the approved public benefit plan; and
- (3) Whether the executive should be subject to enhanced oversight or review under Section 14362(a)(6).

(c) **No Prohibition.** Nothing in this chapter shall be construed to prohibit executives from exercising their constitutional rights to petition the government or engage in political speech.

SECTION 8. ANTI-EVASION PROVISIONS

ARTICLE 5. Prevention of Evasion

14366. Jurisdiction and Prohibition on Evasion

(a) **Nexus-Based Jurisdiction.** A covered entity remains subject to this chapter regardless of its state of incorporation, principal place of business, or choice of governing law, so long as any of the following conditions is satisfied:

- (1) The entity maintains research facilities, data centers, laboratories, or other material operations in California;
- (2) The entity employs more than 50 persons in California;
- (3) The entity was created from, or is a successor to, a charitable research organization that was organized under California law or registered with the California Attorney General;
- (4) The entity holds assets that originated from a charitable research organization organized under California law or registered with the California Attorney General; or
- (5) The predecessor charitable organization from which the entity's assets originated consented to California jurisdiction.

(b) Relocation Approval. No covered entity shall, without prior written approval of the Board:

- (1) Relocate its headquarters outside of California;
- (2) Change its state of incorporation;
- (3) Change its governing law or choice of forum provisions; or
- (4) Take any action designed to remove the entity from the jurisdiction of this chapter.

(c) Asset Transfer Restrictions. No covered entity shall, without prior written approval of the Board, transfer, license, sell, or otherwise dispose of any of the following outside of California:

- (1) Intellectual property, including patents, copyrights, trade secrets, and proprietary technology;
- (2) Research assets, including data centers, servers, laboratories, and computing infrastructure;
- (3) Research materials, data, and models;
- (4) Key personnel, through mass transfers, spinoffs, or similar transactions involving more than 25 employees; or
- (5) Any other assets material to the entity's operations or mission.

(d) Predecessor Organization Veto Rights. As provided in Section 14363(h), the predecessor charitable organization shall have veto rights over any relocation, change of incorporation, or transfer of substantially all assets. The Board shall direct the predecessor organization in the exercise of these rights.

(e) Evasion. If the Board determines that a covered entity is relocating, transferring assets, restructuring, or taking other action for the purpose of evading oversight under this chapter:

- (1) The Board shall immediately exercise its review authority under Section 14363 and may reverse or restructure any prior conversion;
- (2) Executives who authorized the evasion shall be personally liable under Section 14368 and Section 14369;
- (3) The entity shall be subject to the maximum penalties under Section 14368;
- (4) The Attorney General may seek emergency injunctive relief in any court of competent jurisdiction; and
- (5) Any transaction undertaken as part of the evasion shall be void and of no effect.

(f) Pre-Election Evasion. Any relocation, transfer of assets, or restructuring undertaken by a covered entity after November 25, 2025 and before the effective date of this chapter shall be presumed to be for the purpose of evading this chapter if such action would diminish California's jurisdiction. Such presumption may be rebutted only by clear and convincing evidence of legitimate business purpose unrelated to evasion of oversight.

(g) **Reversal of Pre-Election Evasion.** If the Board determines that a covered entity took action to evade jurisdiction during the pendency of this initiative, the Board may:

- (1) Order reversal of such action;
- (2) Deem the action void ab initio;
- (3) Impose penalties under Section 14368; and
- (4) Exercise all other authority under this chapter as if the evasion had not occurred.

(h) **Consent to Jurisdiction.** As a condition of any conversion approved by the Board, the converted entity shall execute a written consent to the continuing jurisdiction of California courts for all matters arising under this chapter, which consent shall be irrevocable.

(i) **Void Ab Initio for Evasion.** Any transaction, transfer, reorganization, assignment, merger, or other action taken for the purpose of evading the jurisdiction or requirements of this chapter shall be void ab initio and of no legal effect. No party to such transaction shall acquire any legal or equitable rights thereunder. Any assets purportedly transferred shall:

- (1) Be deemed to remain the property of the covered entity from which they were purportedly transferred;
- (2) Remain subject to the charitable encumbrance under Section 14362.5;
- (3) Be subject to constructive trust in favor of the People of California;
- (4) Remain subject to the full jurisdiction of the Board and California courts; and
- (5) Be recoverable by the Board or Attorney General through any available legal or equitable remedy.

(j) **Determining Purpose to Evade.** The Board or a court may find that a transaction was undertaken for the purpose of evasion based on factors including:

- (1) Timing of the transaction in relation to Board oversight or investigation;
- (2) Lack of legitimate business purpose for the transaction;
- (3) The effect of the transaction in limiting or eliminating California jurisdiction;
- (4) Statements by executives or controlling persons regarding intent to avoid oversight;
- (5) Use of complex or circuitous transaction structures lacking economic substance; or
- (6) Any other evidence of intent to evade the requirements of this chapter.

(k) **Successor and Transferee Liability.** Any person or entity that receives assets from a covered entity with actual or constructive knowledge of the charitable encumbrance or the requirements of this chapter shall:

- (1) Take the assets subject to all obligations, encumbrances, and restrictions applicable to the covered entity;
- (2) Become jointly and severally liable for all obligations of the covered entity under this chapter;
- (3) Become subject to the full jurisdiction of the Board; and
- (4) If the transfer of assets exceeds one hundred million dollars (\$100,000,000), become a covered entity subject to all provisions of this chapter.

SECTION 9. FUNDING

ARTICLE 6. Funding of Oversight Activities

14367. Assessment on Covered Entities

(a) Annual Assessment. Each covered entity shall pay an annual assessment to fund the operations of the Board and related oversight activities. The assessment shall be between one percent (1%) and two percent (2%) of the covered entity's annual gross revenue, as determined by the Board based on the complexity and scope of oversight required.

(b) Charitable Research Oversight Fund. There is hereby created in the State Treasury the Charitable Research Oversight Fund. All assessments collected under this section, all penalties collected under Sections 14368 and 14368.5, and all other funds received pursuant to this chapter shall be deposited in the Fund.

(c) Use of Funds. Moneys in the Charitable Research Oversight Fund shall be used, upon appropriation by the Legislature, for:

- (1) Compensation and expenses of Board members;
- (2) Staff and administrative support for the Board;
- (3) Investigations, audits, and enforcement activities;
- (4) Expert consultants and advisors;
- (5) Public competitions for proposals and plans;
- (6) Grants to researchers, nonprofit organizations, and academic institutions for research on governance, ethics, and public benefit mechanisms for charitable research organizations;
- (7) Grants to California nonprofit organizations working to ensure technology serves the public good;
- (8) Whistleblower awards under Section 14368.5; and
- (9) Any other purpose consistent with this chapter.

(d) State General Fund. This chapter shall not result in any net cost to the State General Fund. All costs of implementing this chapter shall be funded by assessments on covered entities and penalties collected under this chapter.

SECTION 10. ENFORCEMENT

ARTICLE 7. Enforcement and Penalties

14368. Civil Enforcement by Attorney General

(a) **Attorney General Authority.** The Attorney General may, on the Attorney General's own initiative or at the request of the Board, bring an action in superior court to enforce this chapter, including actions for:

- (1) Declaratory relief regarding compliance with this chapter;
- (2) Injunctive relief to prevent violations or require compliance;
- (3) Civil penalties as provided in this section;
- (4) Disgorgement of any profit or benefit obtained through violation of this chapter; and
- (5) Any other relief the court deems appropriate to effectuate the purposes of this chapter.

(b) **Civil Penalties for Entities.** A covered entity that violates this chapter or fails to comply with an order of the Board shall be subject to the following civil penalties:

- (1) **Initial Penalty.** Five percent (5%) of the entity's annual gross revenue for the prior fiscal year;
- (2) **Continued Non-Compliance.** If the violation is not cured within 90 days, the penalty shall increase to twenty-five percent (25%) of annual gross revenue;
- (3) **Persistent Violation.** If the violation is not cured within 180 days, the penalty shall increase to one hundred percent (100%) of annual gross revenue; and
- (4) **Operational Cessation.** Upon imposition of the 100% penalty, the Board may seek a court order requiring the cessation of all operations of the covered entity until compliance is achieved.

(c) **Personal Liability of Executives.** An executive who knowingly violates this chapter, knowingly causes a covered entity to violate this chapter, or knowingly fails to prevent a violation when the executive had the authority and duty to do so, shall be personally liable for civil penalties as follows:

- (1) Up to five million dollars (\$5,000,000) per violation; plus
- (2) Disgorgement of any compensation, equity, or other benefit received by the executive from the covered entity during the period of violation.

14368.5. Private Enforcement

(a) **Standing.** Any of the following persons may bring a civil action to enforce this chapter:

- (1) Any person who donated money, property, or services to a charitable research organization or its predecessor;
- (2) Any current or former employee of a covered entity;
- (3) Any resident of California;

(4) Any nonprofit organization with a mission related to public interest, technology policy, charitable oversight, consumer protection, or research ethics; and

(5) Any person harmed by a violation of this chapter.

(b) Qui Tam Actions. A private plaintiff may bring an action on behalf of the People of the State of California to recover civil penalties that would otherwise be recoverable by the Attorney General under Section 14368.

(c) Available Relief. A private plaintiff may seek:

(1) Declaratory relief;

(2) Injunctive relief to prevent or remedy violations;

(3) Actual damages suffered as a result of violations;

(4) Statutory damages as provided in subdivision (d);

(5) Disgorgement of profits or benefits obtained through violation; and

(6) Civil penalties as provided in Section 14368(b), in a qui tam action.

(d) Statutory Damages. In lieu of actual damages, a plaintiff may elect to recover statutory damages for each violation as follows:

(1) For covered entities with annual gross revenue under one hundred million dollars (\$100,000,000): not less than one hundred thousand dollars (\$100,000) and not more than one million dollars (\$1,000,000) per violation;

(2) For covered entities with annual gross revenue of one hundred million dollars (\$100,000,000) or more but less than one billion dollars (\$1,000,000,000): not less than one million dollars (\$1,000,000) and not more than ten million dollars (\$10,000,000) per violation;

(3) For covered entities with annual gross revenue of one billion dollars (\$1,000,000,000) or more but less than ten billion dollars (\$10,000,000,000): not less than ten million dollars (\$10,000,000) and not more than fifty million dollars (\$50,000,000) per violation; and

(4) For covered entities with annual gross revenue of ten billion dollars (\$10,000,000,000) or more: not less than fifty million dollars (\$50,000,000) and not more than five hundred million dollars (\$500,000,000) per violation.

(e) Treble Damages. If the court finds that a violation was knowing and willful, the court shall award treble damages or three times the statutory damages amount.

(f) Control-Based Damages. For any violation involving the improper concentration, capture, or control of research assets, the court may award additional damages equal to ten percent (10%) of the fair market value of all assets subject to improper control.

(g) Qui Tam Recovery. In a qui tam action, the plaintiff shall recover:

(1) If the Attorney General intervenes and prosecutes the action: twenty-five percent (25%) to thirty-five percent (35%) of any penalties or amounts recovered, as determined by the court based on the plaintiff's contribution to the action;

(2) If the plaintiff prosecutes the action without intervention by the Attorney General: thirty-five percent (35%) to fifty percent (50%) of any penalties or amounts recovered.

(3) The remainder shall be deposited in the Charitable Research Oversight Fund.

(h) Attorney's Fees and Costs. A prevailing plaintiff shall be entitled to recover reasonable attorney's fees and costs, including expert witness fees. A prevailing defendant shall not be entitled to attorney's fees unless the court finds the action was frivolous, unreasonable, or without foundation.

(i) Whistleblower Protections.

(1) No covered entity or person shall discharge, demote, suspend, threaten, harass, or in any manner discriminate against any person for filing a complaint, participating in an investigation, testifying before the Board, or bringing an action under this chapter.

(2) A person who suffers retaliation in violation of this subdivision may bring an action to recover compensatory damages, punitive damages, reinstatement, back pay, and reasonable attorney's fees.

(3) A person who provides original information to the Board or Attorney General that leads to a successful enforcement action resulting in monetary penalties exceeding one million dollars (\$1,000,000) shall be entitled to a whistleblower award of fifteen percent (15%) to thirty percent (30%) of the monetary penalties collected, as determined by the Board.

(j) Presumption of Irreparable Harm. In any action seeking injunctive relief to prevent violations involving the control, transfer, or disposition of research assets, there shall be a rebuttable presumption that the plaintiff will suffer irreparable harm absent injunctive relief.

(k) Bond. A court shall not require a plaintiff to post a bond as a condition of obtaining a preliminary injunction, unless the court finds that the plaintiff is acting in bad faith.

(l) Statute of Limitations. An action under this section must be commenced within four years of the discovery of the violation, or within ten years of the violation, whichever is earlier.

14369. Criminal Penalties

(a) Criminal Liability. Any executive who willfully and knowingly:

(1) Diverts charitable assets for personal benefit;

(2) Converts charitable assets to private ownership in violation of this chapter;

(3) Makes false statements or representations to the Board or Attorney General in connection with any matter under this chapter;

(4) Obstructs or impedes an investigation or proceeding under this chapter; or

(5) Takes action to evade the jurisdiction or oversight of this chapter

shall be guilty of a felony punishable by imprisonment in the state prison for two, three, or four years, and a fine of up to ten million dollars (\$10,000,000) or twice the

value of the charitable assets involved, whichever is greater. For violations involving charitable assets valued in excess of one hundred million dollars (\$100,000,000), the penalty shall be imprisonment for three, four, or five years.

(b) Prosecution. The Attorney General shall have authority to prosecute violations of this section.

(c) Restitution. Upon conviction, the court shall order the defendant to pay restitution to the Charitable Research Oversight Fund in an amount equal to the value of any charitable assets misappropriated or converted.

SECTION 11. RETROACTIVITY AND APPLICATION

ARTICLE 8. Scope of Application

14370. Retroactive Application

(a) This chapter shall apply to:

- (1) Any charitable research organization;
- (2) Any conversion of a charitable research organization that has been proposed, submitted for approval, approved, or completed on or after January 1, 2024;
- (3) Any converted entity resulting from such a conversion; and
- (4) Any charitable organization that retains an ownership interest in a converted entity.

(b) Pending Conversions. Any conversion that has been submitted to the Attorney General but not yet approved as of the effective date of this chapter shall not be approved until the Board has reviewed and approved the conversion.

(c) Approved but Not Completed Conversions. Any conversion that has been approved by the Attorney General but not yet completed as of the effective date of this chapter shall not be completed until the Board has reviewed and approved the conversion.

(d) Completed Conversions. Any conversion that has been completed as of the effective date of this chapter shall be subject to review by the Board, which may approve, modify, or reverse the conversion as provided in Section 14363.

(e) Governance Rights. The retroactive governance rights established in Section 14363(h) shall apply to all conversions completed on or after January 1, 2024, and shall be effective immediately upon the effective date of this chapter.

SECTION 12. SEVERABILITY

14371. Severability

(a) General Severability. If any provision of this chapter, or the application thereof to any person or circumstance, is held invalid or unconstitutional by a court of competent jurisdiction, such invalidity or unconstitutionality shall not affect other provisions or applications of this chapter that can be given effect without the invalid or unconstitutional provision or application, and to this end the provisions of this chapter are declared to be severable.

(b) Specific Severability Provisions.

- (1) If any provision regarding the reversal or restructuring of conversions under Section 14363(c) or (d) is held invalid, the remaining provisions regarding prospective oversight, compliance review, and enforcement shall remain in full force and effect.
- (2) If any provision regarding retroactive governance rights under Section 14363(h) is held invalid, the Board shall have authority to require such governance rights prospectively as a condition of any future action by the covered entity requiring Board approval.
- (3) If any provision regarding criminal penalties under Section 14369 is held invalid, the provisions regarding civil penalties and other enforcement mechanisms under Sections 14368 and 14368.5 shall remain in full force and effect.
- (4) If any provision regarding retroactive application under Section 14370 is held invalid, the provisions shall apply prospectively to all conversions proposed, submitted for approval, or commenced after the effective date of this chapter.
- (5) If any provision regarding private enforcement under Section 14368.5 is held invalid, the provisions regarding enforcement by the Attorney General under Section 14368 shall remain in full force and effect.
- (6) If any specific penalty amount is held invalid or excessive, the court shall impose the maximum penalty that is constitutionally permissible.
- (7) If the charitable encumbrance provisions of Section 14362.5 are held invalid or unenforceable, the Board shall retain authority to impose comparable use restrictions as a condition of approval for any action requiring Board consent.
- (8) If successor entity liability provisions of Section 14360(c) or 14366(i) are held invalid, the Board shall retain authority to require that any transfer include assumption of obligations by the transferee as a condition of approval.
- (9) If any provision regarding void ab initio treatment of evasion transactions is held invalid, such transactions shall remain voidable at the election of the Board or Attorney General and subject to all other remedies under this chapter.

SECTION 13. CONSTRUCTION

14372. Liberal Construction and Supersession

- (a) **Liberal Construction.** This chapter shall be liberally construed to effectuate its purposes of protecting charitable assets, ensuring compliance with charitable missions, and serving the public good.
- (b) **Supersession.** To the extent any provision of this chapter conflicts with any other provision of the Corporations Code, Government Code, or other statute regarding oversight of charitable organizations, nonprofit conversions, or the powers of the Attorney General with respect to charitable assets, this chapter shall control.

(c) **Supplementation.** This chapter supplements and does not limit the authority of the Attorney General under existing law regarding charitable trusts, nonprofit corporations, and the protection of charitable assets.

(d) **Cumulative Remedies.** The remedies provided in this chapter are cumulative and in addition to any other remedies provided by law.

SECTION 14. CONFLICTING BALLOT MEASURES

14373. Conflicting Ballot Measures

(a) In the event that this measure and another measure or measures addressing the oversight of charitable organizations, nonprofit conversions, scientific research organizations, or the protection of charitable assets appear on the same statewide ballot, the provisions of such other measure or measures shall be deemed to be in conflict with this measure.

(b) If this measure receives a greater number of affirmative votes than any other conflicting measure or measures, the provisions of this measure shall prevail in their entirety, and the conflicting provisions of the other measure or measures shall be null and void.

(c) If this measure receives fewer affirmative votes than another conflicting measure, this measure shall take effect to the extent permitted by law, except where its provisions directly and irreconcilably conflict with the other measure having more affirmative votes.

SECTION 15. AMENDMENT

14374. Amendment by Legislature

(a) This chapter may be amended by a statute passed by a two-thirds vote of each house of the Legislature, provided that such amendment is consistent with and furthers the purposes of this chapter as set forth in Section 2.

(b) The Legislature may not amend this chapter in any way that:

- (1) Reduces oversight of covered entities;
- (2) Weakens enforcement mechanisms or reduces penalties;
- (3) Narrows the scope of application or the definition of covered entities;
- (4) Reduces the powers or authority of the Board;
- (5) Limits the rights of private plaintiffs under Section 14368.5; or
- (6) Exempts any entity from coverage under this chapter

without approval by the voters at a statewide election.

(c) The Board may adopt and amend regulations to implement this chapter without further legislative action, subject to the requirements of subdivision (a)(13) of Section 14362.

SECTION 16. EFFECTIVE DATE AND IMPLEMENTATION

14375. Effective Date

(a) This chapter shall become operative on the day following the election at which it is approved by the voters.

(b) Implementation Timeline.

(1) Within 30 days of the effective date, the Attorney General shall begin identifying and contacting potential Board members as provided in Section 14361(b).

(2) Within 100 days of the effective date, the initial expert members and University of California member shall be appointed.

(3) Within 210 days of the effective date, the public competition members shall be appointed.

(4) Within 240 days of the effective date, the Board shall be fully constituted and operational.

(5) Within 330 days of the effective date, the Board shall have completed its initial review of all conversions completed on or after January 1, 2024.

(c) Interim Authority. Until the Board is fully constituted, the Attorney General shall have authority to exercise the powers of the Board under this chapter, including the authority to issue orders staying or halting any conversion, asset transfer, or other transaction pending Board review.

(d) Immediate Effect of Governance Rights. The retroactive governance rights established in Section 14363(h) shall be effective immediately upon the effective date of this chapter, and may be enforced by the Attorney General pending constitution of the Board.